

A LITTLE OVER two months into the West Asia war, Prime Minister Narendra Modi’s call for consumption cuts made everyone sit up and take notice. Until then, it had been largely business as usual for most, although there had been some impact from the conflict in almost everyone’s lives. Consumers were facing higher prices of most goods, barring petrol and diesel, while businesses were battling challenges in securing energy supplies and raw material imports as well as in sending out export cargoes.

However, the Prime Minister’s exhortation to cut down on the use of petrol and diesel as well as discretionary spending on gold, amongst other measures to save foreign exchange, raised larger concerns over the well-being of the economy and whether a fresh and perhaps, larger-than-anticipated, crisis was brewing. In the ensuing days, the government swung into action and took a handful of measures to curb forex outflows, which also coincided with the conclusion of assembly polls in five states.

First, the Centre more than doubled the customs duty on precious metals, including gold silver and platinum, which was followed by state-owned oil marketing companies raising retail prices of petrol and diesel by ₹3 per litre each, followed by another 90 paise hike and then restricting silver imports through nominated agencies.

Questions over the health of the economy and what’s in store for consumers abound with worries over second round inflation, more measures to control balance of payments and slowing growth. After all, for much of the past few quarters of FY26, and right up to the presentation of the Union Budget on February 1 and ensuing weeks, it had been smooth sailing for the Indian economy, which was seen to go through a so-called Goldilocks phase of high growth and low inflation.

The economy, through nimble policy moves and strong internal demand, had brushed off the potential hit from the 50% tariffs imposed by US President Donald Trump and had done better than expected with an estimated growth of 7.6% last fiscal and a pickup in private consumption on the back of cuts in income tax and goods and services tax (GST) rates.

But over the past two-and-a-half months, this picture started to change with questions emanating now over how long the economy can remain resilient to external and domestic challenges.

Adding to the external volatilities, the monsoons are also seen to be below average this year, leading to at least some worries over how it would impact crop production and prices and the rural sector, which is a significant source of private consumption.

CHANGED REALITY

- Since the presentation of the Budget on February 1, the economic scenario has changed completely
- The West Asia war has led to higher energy and commodity prices, slowing growth prospects and raising inflationary pressures
- Forecasts of El Niño and poor monsoon this year have led to concerns over farm sector growth and food prices
- The Budget math will have to be revised with fiscal pressures rising and higher outlays for oil and fertiliser subsidies
- A falling rupee and waning foreign investments along with muted exports growth may also impact the current account deficit
- The Indian economy has remained resilient but new challenges are cropping up on all fronts

THE UNION BUDGET 2026-27 BET BIG ON THE ECONOMY’S RESILIENCE

	F26	FY27 (Budget Estimates)
Real GDP Growth (YoY %)	7.6	6.8-7.2
Nominal Growth (YoY %)	8.6	10
Retail Inflation (YoY %)	2.1	3-3.5
Fiscal Deficit (% of GDP)	4.4	4.3